OFFERING MEMORANDUM

Northgate Station District | Buffalo, NY

Property	Northgate Station District
Location	3432 Maple Parkway, Buffalo, NY 44709
Property Type	Mixed-Use
Size	365,000 SF
Year Built	1984
Offering	Unpriced - Offers Due July 1, 2020

Business Plan Progress

Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Percentage rent and CAM reimbursements are tracked separately for the commercial component. The property is walkable to transit, with 7 structured parking spaces shared between uses.

The project combines ground-floor retail and restaurant space with upper-level residential and office components. The property is walkable to transit, with 22 structured parking spaces shared between uses. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. The business plan contemplates a hold period of 7 years with disposition upon achievement of target returns. Projected levered IRR is 8.8% with an equity multiple of 1.2x over the hold period. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market.

Submarket Analysis

The property is walkable to transit, with 25 structured parking spaces shared between uses. Market vacancy for comparable Mixed-Use product stands at 10.2%, down from 5.1% two years ago. Rent growth in the submarket has averaged 6.5% annually over the past 3 years. Northgate Station District is located in Buffalo, NY, a market that has recorded 7.1% population growth over the last five years. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis.

The property is walkable to transit, with 21 structured parking spaces shared between uses. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. The Buffalo Mixed-Use market has experienced absorption of 2200 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. Percentage rent and CAM reimbursements are tracked separately for the commercial component.

Investor Distributions

Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. Projected levered IRR is 7.4% with an equity multiple of 1.38x over the hold period. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Percentage rent and CAM reimbursements are tracked separately for the commercial component. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market.

The project combines ground-floor retail and restaurant space with upper-level residential and office components. The business plan contemplates a hold period of 5 years with disposition upon achievement of target returns. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market.

Supply and Demand

The property is walkable to transit, with 13 structured parking spaces shared between uses. Investor demand for Mixed-Use assets in Buffalo remains strong with recent trades at capitalization rates between 7.55% and 7.55%. Employment growth is led by healthcare, logistics, education and professional services sectors. Median household income within a 2-mile radius of the property is approximately $125,000 and has grown 9.1% annually.

Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. Percentage rent and CAM reimbursements are tracked separately for the commercial component. The Buffalo Mixed-Use market has experienced absorption of 1200 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. The project combines ground-floor retail and restaurant space with upper-level residential and office components.

Investor Distributions

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Investor Distributions

Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. Percentage rent and CAM reimbursements are tracked separately for the commercial component. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Projected levered IRR is 7.8% with an equity multiple of 1.2x over the hold period. The business plan contemplates a hold period of 11 years with disposition upon achievement of target returns.

The property is walkable to transit, with 21 structured parking spaces shared between uses. The business plan contemplates a hold period of 9 years with disposition upon achievement of target returns. The project combines ground-floor retail and restaurant space with upper-level residential and office components. Projected levered IRR is 7.8% with an equity multiple of 1.2x over the hold period. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions.

Submarket Analysis

Employment growth is led by healthcare, logistics, education and professional services sectors. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Investor demand for Mixed-Use assets in Buffalo remains strong with recent trades at capitalization rates between 6.50% and 6.50%. Median household income within a 6-mile radius of the property is approximately $465,000 and has grown 4.5% annually. The project combines ground-floor retail and restaurant space with upper-level residential and office components. Rent growth in the submarket has averaged 5.6% annually over the past 6 years.

Northgate Station District is located in Buffalo, NY, a market that has recorded 2.9% population growth over the last five years. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. Rent growth in the submarket has averaged 6.1% annually over the past 12 years. The Buffalo Mixed-Use market has experienced absorption of 3000 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. Employment growth is led by healthcare, logistics, education and professional services sectors. Investor demand for Mixed-Use assets in Buffalo remains strong with recent trades at capitalization rates between 7.11% and 7.11%.

Investment Overview

Distributions to investors for the quarter were paid at an annualized rate of 5.9% on contributed capital. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. The project combines ground-floor retail and restaurant space with upper-level residential and office components.

Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Percentage rent and CAM reimbursements are tracked separately for the commercial component. Distributions to investors for the quarter were paid at an annualized rate of 5.5% on contributed capital. The property is walkable to transit, with 5 structured parking spaces shared between uses.

Demographics and Employment

Market vacancy for comparable Mixed-Use product stands at 8.2%, down from 3.7% two years ago. Northgate Station District is located in Buffalo, NY, a market that has recorded 3.8% population growth over the last five years. Rent growth in the submarket has averaged 3.1% annually over the past 12 years. Investor demand for Mixed-Use assets in Buffalo remains strong with recent trades at capitalization rates between 7.74% and 7.74%.

Investor demand for Mixed-Use assets in Buffalo remains strong with recent trades at capitalization rates between 8.18% and 8.18%. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. Market vacancy for comparable Mixed-Use product stands at 6.0%, down from 3.3% two years ago. Percentage rent and CAM reimbursements are tracked separately for the commercial component.

Investment Overview

Leasing velocity improved during the period and management expects further upward pressure on in-place rents. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. The property is walkable to transit, with 41 structured parking spaces shared between uses. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. The project combines ground-floor retail and restaurant space with upper-level residential and office components. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions.

The property is walkable to transit, with 33 structured parking spaces shared between uses. The project combines ground-floor retail and restaurant space with upper-level residential and office components. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. Projected levered IRR is 4.4% with an equity multiple of 1.8x over the hold period. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Leasing velocity improved during the period and management expects further upward pressure on in-place rents.

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Sales Comparison Data

Comparable	Location	Sale Date	Size	Price	$/Unit or SF	Cap Rate	Yr Built
Yarrow Mixed-Use Center	Boise, ID	05/22/2023	43	$136,475,267	$374	6.54%	1988
Falcon Market Lofts	Atlanta, GA	08/13/2026	28	$143,330,868	$393	7.59%	1984
Aspen Mixed-Use Center	Charlotte, NC	05/28/2023	24	$176,534,837	$484	7.51%	1995
Meridian Market Lofts	Nashville, TN	06/04/2023	52	$122,740,702	$336	6.24%	1966
Harbor Mixed-Use Center	Austin, TX	02/02/2026	54	$90,433,202	$248	7.04%	1997
Ironwood Market Lofts	Nashville, TN	10/02/2025	38	$90,902,988	$249	6.57%	2011
Westgate Mixed-Use Center	Boise, ID	05/02/2022	32	$119,368,905	$327	6.23%	1975
Dunmore Mixed-Use Center	Albany, NY	01/02/2023	41	$57,821,197	$158	7.58%	2014
Orchard Village	Phoenix, AZ	12/28/2023	49	$89,292,256	$245	7.22%	2019
Kingsley Mixed-Use Center	Orlando, FL	01/30/2025	56	$169,332,724	$464	5.10%	2017
Palisade Mixed-Use Center	Des Moines, IA	06/27/2022	47	$89,379,370	$245	8.14%	1992
Pinecrest Mixed-Use Center	Atlanta, GA	12/19/2025	29	$114,706,596	$314	7.83%	2004
Lakeshore Station District	Birmingham, AL	07/27/2024	28	$106,371,742	$291	8.01%	2023
Copper Mixed-Use Center	Pittsburgh, PA	12/08/2025	35	$110,654,521	$303	7.71%	2002
Juniper Station District	Kansas City, MO	01/10/2023	31	$126,517,356	$347	8.02%	2022
Cypress Station District	Indianapolis, IN	04/22/2024	49	$64,187,523	$176	5.83%	2010
Yarrow Market Lofts	Cleveland, OH	08/26/2023	21	$174,090,103	$477	7.05%	1971
Upland Mixed-Use Center	San Diego, CA	11/03/2022	50	$84,128,963	$230	5.26%	1986
Magnolia Village	Grand Rapids, MI	06/26/2023	51	$155,465,804	$426	7.98%	1998
Ironwood Station District	Milwaukee, WI	02/15/2024	25	$95,951,475	$263	6.48%	1987
Verde Station District	San Diego, CA	02/02/2022	38	$158,269,305	$434	7.67%	1974
Vista Mixed-Use Center	St. Louis, MO	01/03/2024	26	$173,019,169	$474	7.32%	2007
Redwood Mixed-Use Center	Albuquerque, NM	08/29/2025	33	$115,696,561	$317	6.95%	2009
Windmill Market Lofts	Aurora, CO	05/02/2025	28	$127,588,853	$350	6.99%	1990
Upland Station District	Louisville, KY	01/27/2023	40	$183,949,252	$504	7.39%	2011
Lakeshore Station District	Louisville, KY	05/07/2024	21	$180,603,576	$495	8.09%	2004
Brookside Village	Omaha, NE	01/23/2026	28	$150,643,697	$413	5.74%	1968
Hollis Village	San Diego, CA	11/03/2024	41	$113,643,448	$311	5.85%	2010
Cedar Village	San Diego, CA	05/03/2023	21	$141,826,147	$389	7.13%	1970
Hawthorne Station District	Denver, CO	01/22/2023	44	$100,664,585	$276	6.88%	2015
Cypress Mixed-Use Center	Detroit, MI	01/26/2022	21	$111,171,331	$305	6.88%	2014
Riverbend Station District	San Diego, CA	02/14/2025	44	$138,059,614	$378	6.93%	2000
Ridgeline Village	Louisville, KY	05/31/2023	46	$102,041,725	$280	7.41%	2003
Cobalt Village	Milwaukee, WI	08/17/2024	45	$96,161,093	$263	7.54%	1991
Amberly Market Lofts	Columbus, OH	09/19/2022	26	$76,743,361	$210	5.48%	1984
Canyon Market Lofts	Norfolk, VA	07/25/2024	24	$139,361,020	$382	7.90%	1967
Palisade Mixed-Use Center	Cincinnati, OH	06/24/2022	49	$82,095,902	$225	6.89%	2023
Dover Mixed-Use Center	Indianapolis, IN	03/18/2025	42	$183,365,819	$502	7.80%	1997
Dunmore Station District	Pittsburgh, PA	11/18/2025	41	$160,943,746	$441	7.60%	1990
Wexford Mixed-Use Center	Nashville, TN	08/27/2023	46	$165,511,189	$453	6.40%	1986
Newport Mixed-Use Center	Philadelphia, PA	05/29/2023	25	$63,544,579	$174	6.99%	1978
Wexford Mixed-Use Center	Louisville, KY	11/24/2025	55	$142,220,789	$390	5.83%	1987
Thornton Mixed-Use Center	Indianapolis, IN	10/23/2022	28	$148,287,835	$406	7.57%	2016

Report generated 07/01/2020. Figures are unaudited and subject to change.

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Improvements Description

The project combines ground-floor retail and restaurant space with upper-level residential and office components. Northgate Station District was originally constructed in 1984 and consists of 365,000 SF in a building of 31 stories. Common area interiors have been refreshed within the last 4 years and are in average to good condition. Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting. Percentage rent and CAM reimbursements are tracked separately for the commercial component. Mechanical systems include rooftop package units and central plant equipment of varying age.

Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition. Northgate Station District was originally constructed in 1984 and consists of 365,000 SF in a building of 34 stories. Common area interiors have been refreshed within the last 10 years and are in average to good condition. The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation.

Valuation Discussion

Effective gross income for the trailing period was $382,000, representing a 12.3% increase over the prior year. The going-in capitalization rate of 5.08% reflects the in-place income and the stabilized occupancy assumption. The property is walkable to transit, with 27 structured parking spaces shared between uses. Percentage rent and CAM reimbursements are tracked separately for the commercial component.

The project combines ground-floor retail and restaurant space with upper-level residential and office components. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. Percentage rent and CAM reimbursements are tracked separately for the commercial component. Net operating income is projected to grow at a compound annual rate of 5.0% over the hold period.

Construction Details

Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting. Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition. The project combines ground-floor retail and restaurant space with upper-level residential and office components. The property is walkable to transit, with 35 structured parking spaces shared between uses. Mechanical systems include rooftop package units and central plant equipment of varying age.

The property is walkable to transit, with 2 structured parking spaces shared between uses. Percentage rent and CAM reimbursements are tracked separately for the commercial component. The roof is a 12-year membrane system with an estimated remaining useful life of 4 years. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. Common area interiors have been refreshed within the last 6 years and are in average to good condition. Northgate Station District was originally constructed in 1984 and consists of 365,000 SF in a building of 17 stories.

Income and Expense Review

Net operating income is projected to grow at a compound annual rate of 5.9% over the hold period. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. Operating expenses totaled $479,000 or approximately 27.12 per square foot, with real estate taxes representing the largest line item. Management fees are calculated at 5.9% of collected revenue and are included in operating expenses.

Management fees are calculated at 3.7% of collected revenue and are included in operating expenses. Effective gross income for the trailing period was $211,000, representing a 6.4% increase over the prior year. Net operating income is projected to grow at a compound annual rate of 3.2% over the hold period. The project combines ground-floor retail and restaurant space with upper-level residential and office components. Debt service coverage ratio was 7.87x on a trailing basis against a covenant minimum of 1.20x. The going-in capitalization rate of 5.30% reflects the in-place income and the stabilized occupancy assumption.

Improvements Description

The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation. Common area interiors have been refreshed within the last 7 years and are in average to good condition. Percentage rent and CAM reimbursements are tracked separately for the commercial component. The property is walkable to transit, with 38 structured parking spaces shared between uses. Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting.

Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting. Common area interiors have been refreshed within the last 4 years and are in average to good condition. The property is walkable to transit, with 5 structured parking spaces shared between uses. The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation. Percentage rent and CAM reimbursements are tracked separately for the commercial component. Northgate Station District was originally constructed in 1984 and consists of 365,000 SF in a building of 22 stories.

Income and Expense Review

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Each party represents that it has full power and authority to enter into and perform its obligations hereunder. The prevailing party in any action to enforce the terms hereof shall be entitled to recover reasonable attorneys' fees and costs. If any term is held invalid or unenforceable, the remaining terms shall continue in full force and effect. This instrument shall be binding upon and inure to the benefit of the parties and their respective successors and permitted assigns. This document relates solely to Northgate Station District and has been prepared for the use of the recipient only; it may not be reproduced or distributed.

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